

Message 1 of 42

EOTT Fleet Replacement Procedure

Sender	morris.brassfield@enron.com
Recipients	[dan.pribble@enron.com', 'rod.hayslett@enron.com', 'phil.lowry@enron.com', 'randy.rice@enron.com', 'michel.ne...
File	hayslett-r/projects/eott/3.

Effectively immediately, the attached procedure will be utilized to replace light duty EOTT light duty leased vehicles, which become inoperative, develop high maintenance costs, or become a safety risk, after budgets have been approved. Identified vehicles meeting the established criteria may be ordered anytime during the manufacturer open order period.

EOTT FLEET REPLACEMENT POLICY AND PROCEDURE

Purpose: This procedure will outline the steps necessary to replace EOTT/ETS light duty vehicles. Vehicles will be replaced during the annual budget cycle or anytime during the year when major mechanical failure or excessive monthly maintenance costs meet or exceed established business criteria.

Procedure: Vehicles will be "factory-built" utilizing the approved ETS fleet procedure and specifications. Vehicles, which become inoperative or have high maintenance costs may be considered for replacement utilizing the following procedure:

Business Criteria For Replacement Due To Mechanical Necessity: To be considered for replacement (Outside of normal budget cycle) due to mechanical necessity, the following conditions must exist:

1. Vehicle is considered UNSAFE (Explanation Required)
2. Vehicle becomes inoperative.
3. Repair estimate exceeds 10% of replacement cost.
4. Current mileage exceeds 125,000 or 5 years-in-service.

Required Information: The following information should be provided to the ETS Fleet Manager:

1. Enter the order through iBuyit (Attach registration form)
2. Complete and email a vehicle condition report (provided by Fleet Manager)(Vehicle condition report must detail major repair needs)
3. ETS Fleet Manager will generate a Purchase Order.
4. Vehicle will be ordered through PHH.
5. ETS Fleet Manager will notify Region management and EOTT of vehicle order, approximate delivery date and the approximate lease cost.

Please address any questions to me at 713-646-7006 or Bruce Martin -713-345-6527

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

Bruce A. Martin Enron Transportation Services Three Allen Center 3290 333 Clay Street Houston, Texas 77002

713-345-6527 Phone 713-858-1023 Cell 800-376-8768 Pager or 80037687682@skytel.com 281-664-4567 Cynet Fax

Message 2 of 42

New York

Sender	sarah.taylor@enron.com
Recipients	[rod.hayslett@enron.com', 'jeff.donahue@enron.com', 'mitch.taylor@enron.com']
File	hayslett-r/inbox/150.

We are all confirmed on Continental Flight #410 departing IAH at 10:00 p.m. this evening (see schedule below). Our confirmation numbers are the same as our previous tickets. I will be sending you your individual confirmation shortly.

I have also spoken with the W hotel and we have reservations for this evening. The hotel confirmation numbers also remain the same.

If any of this is a problem please call me or Linda at Travel Agency in the Park 713-560-8080.

Thanks Sarah 832-444-3949 (cell)

-----Original Message-----

From: Linda Harris [mailto:linda.harris@travelpark.com] Sent: Sunday, November 18, 2001 2:20 PM To: Taylor, Sarah
Subject: TAYLOR/SARAH K - 18NOV - **ETKT PROCESSED** Importance: High

DATE: NOV 18 2001

SERVICE DATE FROM TO DEPART ARRIVE

CONTINENTAL AIRLINES 18NOV HOUSTON TX NEWARK NJ 1000P 214A CO 410 Y SUN G.BUSH INTERCO
NEWARK INTL 19NOV TERMINAL C TERMINAL C NON STOP RESERVATION CONFIRMED 3:14 DURATION
AIRCRAFT: BOEING 737-300 SEAT 07C NO SMOKING CONFIRMED TAYLOR/SARAH K(

HOTEL 19NOV W NEW YORK - UNION SQUARE 20NOV 201 PARK AVENUE SOUTH NEW YORK, NY 10003 UNITED
STATES OF AMERICA TELEPHONE: 1-212-253-9119 FAX: 1-212-253-9229 TELEX: NONE CONFIRMATION: 1033235
SINGLE ROOM KING SIZE BED RATE: COR USD 289.00 PER NIGHT GUARANTEE GIVEN NONSMK KING ROOM TO
AVOID BILLING CANCEL 24HRS PRIOR TO ARRIVAL

Linda Harris International Agent 713 860-1831 (direct line) - or- 713 650-8080 ext 1231 713 860-1863 (direct fax)
linda.harris@travelpark.com

Message 3 of 42

RE: Vacant Positions in ETS OSS - Purchasing

Sender rod.hayslett@enron.com

Recipients ['daniel.batista@enron.com', 'jo.dickens-wilson@enron.com', 'morris.brassfield@enron.com']

File hayslett-r/sent_items/261.

I am OK, as long as the budget dollars are available to do it. -----Original Message----- From: Brassfield, Morris Sent: Monday, November 12, 2001 5:27 PM To: Hayslett, Rod Cc: Batista, Daniel; Dickens-Wilson, Shirley Jo Subject: Vacant Positions in ETS OSS - Purchasing

Rod,

I believe and support what Shirley Jo is proposing here. In light of all that is going on, I believe proceeding with this proposal makes good business sense and feel we should proceed.

If you approve, we will proceed. If not, we will develop another strategy.

Thanks,

Morris

-----Original Message-----

From: Dickens-Wilson, Shirley Jo Sent: Mon 11/12/2001 4:58 PM To: Brassfield, Morris Cc: Subject: RE: Vacant Positions

Both positions are essential to supporting E&C project work loads.

The pipe buying has been temporarily moved to Josh Mayes. He can support the work for a short time but this is not optimal because of his current work load. We need an experienced pipe buyer rather than a generalist.

The GTB project expediting was placed within EEOS because we did not have the staff to handle the work. EEOS indicated they had the experienced staff and time available so Lisa hired them. The performance has not been satisfactory. We are concerned that the project will be impacted if we don't take steps to reassign the work.

We also need approval to move offices. Ruth Ann needs approval to move Tyrone, add a hub to his office, move two expeditors to Tyrone's office thus freeing up two spaces in the procurement office.

Thanks,

Shirley Jo Dickens-Wilson Director ETS - Procurement and Supply Management Office: 713-646-7545
shirley.jo.dickens-wilson@enron.com

-----Original Message-----

From: Brassfield, Morris Sent: Monday, November 12, 2001 3:27 PM To: Dickens-Wilson, Shirley Jo Subject: FW: Vacant Positions

Do you fully support these positions? Do you have anything to add to help justify our slant on these positions? Why do we want to pull this work away from EEOS? We may have to, due to Market Affiliate issues, but do you have other reasons?

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

-----Original Message-----

From: Honey, Lisa Sent: Monday, November 12, 2001 3:21 PM To: Brassfield, Morris Cc: Dickens-Wilson, Shirley Jo; Batista, Daniel Subject: Vacant Positions

Morris:

I have two positions I would like to fill. The first is a Pipe Buyer. I have interviewed both internal and external candidates and my first choice is an external candidate. He has excellent experience as a project buyer and solid experience in buying pipe both in mill quantities and distributor quantities. Another fully qualified internal candidate for this position has withdrawn his application as he has decided to stay at EES. My next choice would be an EBS buyer with good purchasing experience but no pipe experience. There might be ramifications for bringing in a buyer with no pipe experience to replace the previous Pipe Buyer if he is eventually terminated.

The second position is an expeditor for the Red Rock and GTB projects. This work is currently being handled in EEOS. I would like to bring in Debbie Hinkle who is currently in redeployment from the Methanol Plant.

Both of this positions will be fully charged out to the projects. Please let me know if you have any questions.

Lisa Honey Project Procurement Manager Enron Transportation Services 3AC 3281 Tel. 713-646-9661 Fax 281-664-4561
Cell 713-594-9759

Message 4 of 42

FW: Citibank Relationship

Sender	a..howard@enron.com
Recipients	['rod.hayslett@enron.com', 'morris.brassfield@enron.com']
File	hayslett-r/deleted_items/51.

Morris: Bill Fox is one of the senior most executives at Citi who has been working with a number of people at Enron (myself included) during the past several weeks. If we do not here something by tomorrow, I will escalate it up the ENE chain.

-----Original Message-----

From: Perkins, Mary Sent: Monday, November 19, 2001 2:44 PM To: Howard, Kevin A. Subject: RE: Citibank Relationship

Hilda Munoz has asked Bill Fox for a decision. He apparently didn't focus on it for a couple of weeks - can't imagine what else he was doing. I was told Friday that we would get an answer today.

Mary

-----Original Message-----

From: Howard, Kevin A. Sent: Monday, November 19, 2001 2:36 PM To: Perkins, Mary Subject: FW: Citibank Relationship

Mary: It sounds like you are on top of this - This was brought up at Rod's staff meeting. If there is anything I can do to help, just let me know. Who is handling this for us now?

-----Original Message-----

From: Brassfield, Morris Sent: Monday, November 19, 2001 1:53 PM To: Howard, Kevin A. Subject: FW: Citibank Relationship

Information on Citibank Cards we are attempting to get for ETS.

-----Original Message-----

From: Martin, Bruce Sent: Monday, November 19, 2001 1:31 PM To: Brassfield, Morris Subject: FW: Citibank Relationship

-----Original Message-----

From: Martin, Bruce Sent: Sunday, November 18, 2001 6:29 PM To: Perkins, Mary Subject: RE: Citibank Relationship

Thanks for the note. I will be in tomorrow and hope to work directly with Citibank to get his rolling ASAP.

Thanks,

Bruce

-----Original Message-----

From: Perkins, Mary Sent: Friday, November 16, 2001 3:37 PM To: Martin, Bruce Subject: RE: Citibank Relationship

Bruce, The problem appears to be that the person who needed to approve this has been sleeping at Enron (just kidding but he has been here for several 24 hour periods over the last 2 weeks) and wasn't getting back to the credit card people. It has been elevated now and we should have an answer Monday. I'm getting indications that it should be ok but I don't have a firm answer yet. Mary

-----Original Message-----

From: Martin, Bruce Sent: Friday, November 16, 2001 1:12 PM To: Perkins, Mary Subject: RE: Citibank Relationship

This is the person we spoke with this morning at 10:00 AM. Bruce Nohe, VP Business Development 203.975.6949

-----Original Message-----

From: Perkins, Mary Sent: Friday, November 16, 2001 1:05 PM To: Martin, Bruce Subject: RE: Citibank Relationship

Who at Citi is telling you this?

-----Original Message-----

From: Martin, Bruce Sent: Friday, November 16, 2001 10:55 AM To: Perkins, Mary Cc: Dickens-Wilson, Shirley Jo; Johnson, Mary Ann; Brassfield, Morris; Gillespie, John Subject: Citibank Relationship

As you are aware, ETS has committed to implementation of the Citibank purchasing card program. We requested 20 cards, 30 days ago to be used in a pilot program. In talking to Citibank, we were advised the cards are being held pending a review of Enron's credit.

We currently are using Wright Express MasterCard. We have ceased implementation of EDI with Wright Express because of the transition to Citibank. At this time, we are in a serious dilemma with a working program with very costly manual invoice processing costs and a new program with Citibank that is on hold.

If you have contacts with Citibank who could assist us in moving our program forward, I would appreciate your assistance. If we are unable to proceed with Citibank, we will need to spend the money and time to enhance our association with Wright Express.

Please call either John Gillespie (713-646-6222) or me.

Your assistance is appreciated,

Bruce A. Martin Fleet Manager Enron Transportation Services Three Allen Center 3AC3283 333 Clay Street Houston, Texas 77002

713-345-6527 Phone 713-858-1023 Cell 800-376-8768 Pager or 8003768768@skytel.com 281-664-4567 Cynet Fax

Message 5 of 42

UH Event - John Abraham

Sender	tracey.kozadinos@enron.com
Recipients	['john.abraham@enron.com', 'rod.hayslett@enron.com', 'corina.taylor@enron.com']
File	hayslett-r/projects/recruiting/12.

Corina,

John will be present Monday night and can help interview on Tuesday, Nov 13th.

Regards, Tracey Kozadinos Specialist Risk Assessment & Control 713.853.3446

-----Original Message-----

From: Abraham, John Sent: Friday, October 12, 2001 3:10 PM To: Kozadinos, Tracey Subject: RE: UH Analyst/Assoc Recruiting Opportunity

Tracey,

I can come out both on Monday nite and Tues Nov 13 for most of the day. Let me know how I can be of service.

John Abraham Director, Global Wholesale Markets Enron Broadband Services 1400 Smith St. Houston, TX 77002 office. 713.853.1445 mobile.713.569.8716 efax. 925.666.3634

-----Original Message-----

From: Kozadinos, Tracey Sent: Friday, October 12, 2001 2:54 PM Subject: UH Analyst/Assoc Recruiting Opportunity Importance: High

Cougars -

The Analyst and Associate program will begin recruiting next week at UH and you have been invited by Rod Hayslett, UH Managing Director of Recruiting, to help in the recruiting efforts. Below is a list of upcoming events that you may participate in. **Please keep in mind that you will receive PRC credit for attending!

Date Time Location Event Mon, Oct 15th 7:00 pm UH Hilton - Shamrock Rm Enron presentation; Q&A session; One-on-One discussion

Mon-Tues, Nov 12-13 8:30-5:30 UH Career Center On Campus Interviews; Need both Greeters and Interviewers. **Note that only Manager and above may interview candidates.

Please let me know as soon as possible if you would like to help with any of these events and/or would like to be on the official UH Analyst/Associate recruiting team list. Again, you will receive PRC credit for helping recruit. Thank you for your time.

Regards, Tracey Kozadinos Specialist Risk Assessment & Control - Reporting 713.853.3446

Message 6 of 42

Immediate support

Sender	john.kennell@enron.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/inbox/113.

Dear Rod:

Sorry we could not touch base today. I know you are swamped with the current situation. Several of us have helped companies work through crises like this over the past twenty years. We understand Enron's need for exceptionally fast action.

We have the crisis management expertise and I offer you our full and complete support in this time of need. Mark, Paul and myself have been contributors to successful crisis interventions involving such companies as IBM, Texaco, Humana Hospitals, Texas Instruments, Hospital Corporation of America, Lucent Technologies, Atlanta Scientific, Honeywell, 3M, Phillips Petroleum Company?. Rod, we are at your service immediately.

We know that in Enron's current crisis, you cannot: ? Grow fast enough to make a positive difference ? Sell assets fast enough to make a positive difference ? Move fast enough into a major cost cutting program and reorganization of assets to generate the cash and credibility to needed to appease Wall Street ? Aggressively communicate and perform those needed actions fast enough to regain support from Wall Street.

Due to the significance of this situation, we know that Enron would benefit greatly by reducing cost this week by 5-7 percent, with an additional 5-7 percent reduction next week, followed by an additional 5-7 percent over the next month - all while you and the leadership team continue to manage the external crisis. This will get you the positive story and operating earnings needed to begin reestablishing your market position. These are hard times and these unbearably hard decisions and their public announcement need to take place quickly.

We offer to help you and the leadership team: ? Speed the achievement of large scale cost reductions ? Quickly shore-up your most pressured areas of exposure ? Create the "operations" success story for Wall Street, investors, partnerships and employees ? Provide options for impending scenarios not yet encountered

Call me today at #33034 or I will give you a call in the morning to follow-up. We want to help you make a positive difference.

Sincerely,

Bill Rutherford

Bill's Office Phone: 214.987.0075, cell 214.675.7562 Mark's Cell Phone: 281.468.1693 Paul's Cell Phone: 215.896.3831

Message 7 of 42

Enron Fleet Council Recommendations VS Reality

Sender	bruce.martin@enron.com
Recipients	[rod.hayslett@enron.com', 'george.wasaff@enron.com', 'jo.dickens-wilson@enron.com', 'derryl.cleveland@enron....
File	hayslett-r/inbox/99.

As a member of the Enron Fleet Council, I wish to advise management of the following facts.

Enron Fleet Council Members: Members BU Manufacturer Purchased Number Bruce Martin - Cheri ETS - EOTT DaimlerChrysler 200 Cheri Sublet ETS/EFS Ford 160 Randy Hardenbrook Wind Ford and DaimlerChrysler 50 Jeddy Beasley PGE GM 10 420 As you are aware, Enron realizes savings each year by stacking volumes with the

manufacturer's. ETS and EFS will realize reduced costs by stacking volumes with the manufacturer's during 2002. Listed below is a breakdown of the difference in costs by manufacturer:

If we purchased GM rather than DaimlerChrysler, ETS would pay an additional \$524,000 for the same number of vehicles. If we purchased Ford rather than DaimlerChrysler, ETS would pay an additional \$1,036,748 for the same number of vehicles.

Enron Facility Service As indicated above, EFS will only allow the purchase of Ford's for their business unit. Because they also require most vehicles to be purchased as an emergency, they pay \$2,000 to \$3,000 per vehicle for "off the lot" purchases. Because EFS has made a decision to only purchase Ford, their business unit will pay an additional \$950,000 to purchase the same number of Fords vs Dodges. I realize this is a business unit decision, but their choice effects Enron's bottom line. In addition to increased costs to EFS, all Enron business units suffer due to the reduction in stacked volumes with one manufacturer.

Enron Wind Wind acquires vehicles utilizing a local Ford dealership in California. Although Wind has participated in the Enron Fleet Council and in some cases, followed the recommendations of the council, their major annual purchase is from Ford.

PGE PGE is not an active participant in the Enron Fleet Council. Although they participated in past years, have always chosen to purchase GM. Their spend is relatively low, but effects the total units purchased within Enron.

Maintenance Both PGE and Enron Wind utilize Enron staffed maintenance facilities. Although the Enron Fleet Council and prior strategic sourcing efforts have pointed out the high cost of these maintenance shops, little has been done toward outsourcing the light duty maintenance. (oil changes, minor maintenance, tune-ups and tire repair)

Because Enron is now organized under EGS, we have an opportunity to support the recommendations of the Enron Fleet Council. As you are aware, the council recommended purchasing vehicles based upon the manufacturer's incentives and stacking volumes based on total Enron purchases. We only requested incentives from the manufacturers based on the 300 level because we have such a split of purchasing practices across the business units. Rather than the 300 level, we would be looking at 450 to 500 with even greater incentives.

We have an opportunity to reduce Enron's overall fleet costs by making a decision to utilize one manufacturer, rather than splitting the purchases between all three manufacturer's. Because we are now organized under one CFO within Enron Global Services, this may be an opportunity to guide all Enron business units to take advantage of our purchasing power.

This recommendation will be challenged by some business units, but under these challenging times within Enron, any savings in our costs effects the bottom line. The Enron Fleet Council will collectively offer additional savings based on sound fleet practices, during the next few weeks.

If you have any questions, please don't hesitate to call.

Regards,

Bruce A. Martin Fleet Manager Enron Transportation Services Three Allen Center 3AC3283 333 Clay Street Houston, Texas 77002

713-345-6527 Phone 713-858-1023 Cell 800-376-8768 Pager or 8003768768@skytel.com 281-664-4567 Cynet Fax

Message 8 of 42

[Fwd: Your Houston Chronicle Subscriber Account Number]

Sender	haysletr@flash.net
Recipients	['rhaysle@enron.com']
File	hayslett-r/hold/11.

customerservice@chron-news.com wrote:

Here's the Houston Chronicle Subscription Account Number you requested: Account Number: 40139702 Zip Code: 77380
Using these two pieces of information, you can activate your SubscribersADVANTAGE account features at the
HoustonChronicle.com web site's registration page: <http://www.chron.com/registration/login.hts> If you have any questions or
problems registering, please call Customer Service at 713-220-2700 between 8:00 AM and 5:00 PM Monday through Friday, or
email online@chron.com <<mailto:online@chron.com>> Thank you for using HoustonChronicle.com!

----- Original Message -----

Subject: Your Houston Chronicle Subscriber Account Number Date: Tue, 9 May 2000 17:18:48 -0500 From:
customerservice@chron-news.com

Here's the Houston Chronicle Subscription Account Number you requested:

Account Number: 40139702 Zip Code: 77380

Using these two pieces of information, you can activate your SubscribersADVANTAGE account features at the
HoustonChronicle.com web site's registration page: <http://www.chron.com/registration/login.hts>

If you have any questions or problems registering, please call Customer Service at 713-220-2700 between 8:00 AM and
5:00 PM Monday through Friday, or email online@chron.com <<mailto:online@chron.com>>

Thank you for using HoustonChronicle.com!

Message 9 of 42

RE: 2002 Issues

Sender	morris.brassfield@enron.com
Recipients	[' rod.hayslett@enron.com ', ' elaine.concklin@enron.com ', ' barney.brasher@enron.com ']
File	hayslett-r/inbox/26.

Here is what I would consider my top ten list:

Successfully implement the ADAYTUM budgeting tool throughout ETS operations. Provide an effective budgeting/current
estimating process that is consistent, standardized and simplified across ETS. Complete the Cooper Inventory Purchase
Contract in 2002. Successfully implement an Accounts Payable processs. Successfully implement a new Citibank
MasterCard program within ETS, that has full EDI payment processes. Successfully satisfy the EOTT 308 Data
requirements. Continue to be flexible and adaptable to an ever changing business environment. Successfully implement
requirements that satisfy the Operator Qualification Rule before October 2002. Implement a better process for evaluating
I.T. systems and business process changes, before committing. Re-evaluate "Outsourcing" strategy, before moving
forward on any further efforts, such as A/P, etc.

Sorry this is late.

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

-----Original Message-----

From: Hayslett, Rod Sent: Friday, October 05, 2001 11:42 AM To: Barnes, Caroline; Brassfield, Morris; Campos, Kathy;
Centilli, James; Daily, Pamela; Geaccone, Tracy; Gilbert, Steve; Keiser, John; Meers, Thomas; Peters, Jerry; Rosenberg,
David E.; Saunders, James; Tu, Denis Subject: 2002 Issues Importance: High

Please begin to develop a list of issues (your top ten) that we need to be worrying about in ETS for 2002. We will jointly
develop your lists into a larger list for ETS. I would like to think you caould have this done by the end of next week.

Rod Hayslett EB4054 713-853-6178

Message 10 of 42

Hello!!!!

Sender	david@ddh-pd.com
Recipients	['rod.hayslett@enron.com', 'haysletr@flash.net']
File	hayslett-r/projects/hold/13.

Rod and Kathy,

Hello to all! How are you guys doing? Great I hope.

It's been awhile since I last heard from you guys so I thought I would drop a short message to you. We are all doing pretty well. Lauren has completed her college search and has been accepted at Santa Clara University, UC San Diego, Univ. of San Diego, Pepperdine and Univ. of Puget Sound. I think she'll end up at Puget Sound, she felt most comfortable there. She has to decide by May 1st. Lauren is in a musical at school this next few weeks. It's called the "Wiz". She is singing and dancing, she has a few different extra rolls. She is having great fun with it.

I do not remember any of this when we were thinking of college. Things have changed just alittle I think.

Janet is feeling ok, still having alittle stomach trouble. The only thing the Dr's. can think that might be causing this is her braces on her teeth. I think that is pretty remote. We'll see soon next month when her braces come off. I am doing pretty well myself, work has been keeping me busy and I've spent a few extra hours out in the yard. I hope to complete the landscaping and sprinklers some time this year. (Ha ha!)

How are KC and Cory doing? School still going ok for them both?

Well your three (3) homes are probably keeping kathy pretty busy these days. It nice that they are all fairly close to Houston so you can get away to them as often as you would like.

We went up to Seattle and Tacoma last week to vist Puget Sound, I really like the area alot. I never new that Seattle was such a shopper's paradise! The girls shopped for about two days straight. Every store you can think of was in a very small section of town. A really fun place to visit.

I just looked at the time and realized I need to get to work this morning. Say hello to all for us and write if you have a chance. Be good and happy.

Love,

Dave, Janet and Lauren.....

DDH Product Design, Inc. 12280 Saratoga-Sunnyvale Rd. Suite 102 Saratoga, California 95070 1.888.270.9948 phone 1.888.270.8011 fax david@ddh-pd.com

Message 11 of 42

RE: EOTT Conference Call - Enron related questions

Sender	rod.hayslett@enron.com
Recipients	['gay.mayeux@enron.com', 'stanley.horton@enron.com', 'robert.eickenroht@enron.com']
File	hayslett-r/sent_items/191.

Comments below.

-----Original Message-----

From: Mayeux, Gay Sent: Wednesday, November 07, 2001 10:08 PM To: Hayslett, Rod; Eickenroht, Robert; Causey, Richard; Butts, Bob Cc: Horton, Stanley Subject: EOTT Conference Call - Enron related questions

On Tuesday we will have an EOTT conference call with investors to discuss EOTT's third quarter earnings. I am concerned about some questions that may be asked relating to Enron. Here is my stab at answering certain questions. Please review and let me have your comments as soon as you can. I would like to distribute on Friday the complete conference call script and Q&A that will include these answers. Thanks

1. Why did Enron sell its stake in EOTT? Enron decided in September of 2001 to monetize its ownership in EOTT (other than its 2% general partner ownership) which consisted of 3.3 million common units, 7 million subordinated units and \$9.3 million additional partnership units. The monetization was recognized as a sale for book purposes and a financing for tax purposes. Enron retained voting and dispositive power with respect to these interest. Enron, being deemed a control person, filed the appropriate SEC documents with respect to this transaction.
2. Does Enron still have an economic reason to care about the price of EOTT stock? As the general partner, Enron has a fiduciary responsibility to act in the best interest of the unitholders of the partnership. [I like your answer for simplicity sake, however in the interest of full disclosure here's more: the pricing of the transaction was based upon a floor price with a final price for the units to be established at the conversion date of the sub units and the apis. So besides the fiduciary responsibility, there is the fact that the final pricing on the deal has not occurred yet.]
3. What is Enron's ownership of EOTT? From a voting and dispositive power standpoint, it is 39%.
4. Is the general partnership for sale? You will need to ask Enron that question. [Enron filed a 13D on September 6, 2001, stating the following: "It is Enron's intention to review the disposition of and to possibly dispose of all or a portion of its direct and indirect interest in the partnership (including the common units and its interest in the general partner)."]
5. What impact does Enron's current situation have on EOTT? [Two areas need to be addressed here - the tolling agreement and EOTT's ability to obtain three party bank financing. I have EOTT to address these two questions.]

Gay Mayeux Vice President, Investor Relations Enron Corp. 1400 Smith Street, EB 4931a Houston, Texas 77002

Phone: 713-853-9905 Cell: 713-416-8821 Fax: 713-646-3002 email: gay.mayeux@enron.com

Message 12 of 42

RE: Outstanding Invoice from Ariba

Sender	rod.hayslett@enron.com
Recipients	[e.sommers@enron.com], [steve.hotte@enron.com], [kenny.bickett@enron.com], [michael.anderson@enron.com]
File	hayslett-r/sent_items/109.

Was there a plan here, like you guys decided to not pay, or was this just overlooked?

-----Original Message-----

From: Hotte, Steve Sent: Wednesday, October 31, 2001 5:17 PM To: Hayslett, Rod Subject: FW: Outstanding Invoice from Ariba

just as an fyi.

Every time I think we're bringing closure to IT expenses related to Azurix another item to discuss/debate turns up...

-----Original Message-----

From: Davila, Raul Sent: Wednesday, October 31, 2001 5:04 PM To: Abshire, Scott Cc: Wasek, Cheryl; Sullivan, Michael; Steward, Larry; Hotte, Steve; Flores, Leticia; Gillespie, John Subject: FW: Outstanding Invoice from Ariba

Scott, the information on the Ariba invoice follows. We don't physically have the invoice here but the vendor is inquiring on payment.

OM0007622 dated 02/22/01 due 03/24/01 \$83,000.00 The invoice was sent to Randy Dutton WaterDesk Corp. 333 Clay Street Suite 1000 Houston, TX 77002-7293.

The contact at Ariba is: Lisa Kahn Ariba Inc. Credit Analyst 650-390-4268

Thanks

-----Original Message-----

From: Hotte, Steve Sent: Wednesday, October 31, 2001 2:56 PM To: Davila, Raul Cc: Abshire, Scott; Wasek, Cheryl; Sullivan, Michael; Steward, Larry Subject: RE: Outstanding Invoice from Ariba

Please forward to Scott for review. How much is the invoice for and when was it dated?

-----Original Message-----

From: Davila, Raul Sent: Wednesday, October 31, 2001 12:46 PM To: Hotte, Steve Subject: FW: Outstanding Invoice from Ariba

Steve, Ariba has invoices still open related to the Waterdesk Marketplace. Do you know if there are any points of contact that can address Ariba's invoices?

Thanks

-----Original Message-----

From: Gillespie, John Sent: Wednesday, October 31, 2001 11:47 AM To: Davila, Raul Cc: Flores, Leticia Subject: RE: Outstanding Invoice from Ariba

Raul,

I believe all the WaterDesk folks are gone. I would suggest getting in touch with someone within EGS group. I recall the WaterDesk folks believing they would not pay Ariba for this as their marketplace has shut down. I don't know if contractually they have this right. Maybe Mike Sullivan can help.

Sorry. John

-----Original Message-----

From: Davila, Raul Sent: Wednesday, October 31, 2001 10:45 AM To: Gillespie, John Cc: Flores, Leticia Subject: FW: Outstanding Invoice from Ariba

John, Do you know who took over the Waterdesk stuff for Azurix? Ariba is calling to get their invoices paid. The invoice is not in iPayit but Ariba doesn't know who to contact on it. Any ideas?

-----Original Message-----

From: Flores, Leticia Sent: Wednesday, October 31, 2001 10:31 AM To: Davila, Raul Subject: FW: Outstanding Invoice from Ariba

Raul, Need your help on this, I have no idea if we indeed are working with Azurix invoices. Maybe you know of a contact that we can ask or forward this issue to.

Let me know.

Letty

-----Original Message-----

From: Elrod, Hal Sent: Wednesday, October 31, 2001 10:23 AM To: Flores, Leticia Subject: RE: Outstanding Invoice from Ariba

Thanks -- I have no idea who at Azurix would be responsible for this.

-----Original Message-----

From: Lisa Kahn [mailto:Lisa.Kahn@ariba.com] Sent: Monday, October 29, 2001 5:36 PM To: Elrod, Hal Subject: Outstanding Invoice from Ariba Importance: High

Hal,

Your name was provided to me from our records. I am looking for payment status on an outstanding invoice which is for WaterDesk Corporation. Enron purchased WaterDesk in December 2000. The invoice is for 2nd year license of Dynamic Trade software. The invoice information is:

OM0007622 dated 02/22/01 due 03/24/01 \$83,000.00 The invoice was sent to Randy Dutton WaterDesk Corp. 333 Clay Street Suite 1000 Houston, TX 77002-7293.

If you are not the correct person to contact, please provide me with a contact name, phone #, & email address.

I look forward to your response.

Thank you,

Lisa Kahn Ariba Inc. Credit Analyst 650-390-4268

Message 13 of 42

FW: PAA Form

Sender	morris.brassfield@enron.com
Recipients	['rod.hayslett@enron.com', 'kathy.campos@enron.com']
File	hayslett-r/deleted_items/198.

I recommend approval of these.

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

-----Original Message-----

From: Clements, David Sent: Friday, October 26, 2001 9:48 AM To: Brassfield, Morris Subject: FW: PAA Form

Morris, I am forwarding two PAA formats for your review. Jason and Nancy developed an agenda for reviewing O&M reporting requirements for our Field Point Persons that took them through the steps of reporting, forecasting and current estimating, not only as it relates to our requirements, but to those of Elaine's shop as well.

I recommend your approval.

dc

-----Original Message-----

From: Zabawa, Mike Sent: Friday, October 26, 2001 9:38 AM To: Clements, David Subject: PAA Form

Mike Zabawa Mzabawa@enron.com

Message 14 of 42

RE: Transition Issues

Sender	rod.hayslett@enron.com
Recipients	['morris.brassfield@enron.com']
File	hayslett-r/sent_items/250.

There are definitely issues here and we will have to deal with them for sure. I will let you know when there is document to review so that we can get moving.

-----Original Message-----

From: Brassfield, Morris Sent: Monday, November 12, 2001 12:57 PM To: Hayslett, Rod Subject: Transition Issues

Rod,

After hearing the discussion on tighter restrictions and enforcement of "Market Affiliate" rules on the pipelines, should we be evaluating how we interface with GSS and SourceNet. We openly share information on upcoming projects and strategies, at least with GSS.

Sounds like with the direction we are headed over the next several months, what division or subsidiaries are going to be left to buy materials or develop service contracts, other than ETS? Should GSS be moved under ETS? If so, it is way to big, just to cover our needs.

Any thoughts?

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

Message 15 of 42

RE: PAA Form

Sender	rod.hayslett@enron.com
Recipients	['daniel.batista@enron.com', 'morris.brassfield@enron.com', 'kathy.campos@enron.com']
File	hayslett-r/sent_items/259.

Approved.

-----Original Message-----

From: Brassfield, Morris Sent: Friday, October 26, 2001 9:56 AM To: Hayslett, Rod Cc: Campos, Kathy Subject: FW: PAA Form

I recommend approval of these.

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

-----Original Message-----

From: Clements, David Sent: Friday, October 26, 2001 9:48 AM To: Brassfield, Morris Subject: FW: PAA Form

Morris, I am forwarding two PAA formats for your review. Jason and Nancy developed an agenda for reviewing O&M reporting requirements for our Field Point Persons that took them through the steps of reporting, forecasting and current estimating, not only as it relates to our requirements, but to those of Elaine's shop as well.

I recommend your approval.

dc

-----Original Message-----

From: Zabawa, Mike Sent: Friday, October 26, 2001 9:38 AM To: Clements, David Subject: PAA Form

<< File: PAA - Jason Ruckle.doc >> << File: PAA - Nancy Wood.doc >>

Mike Zabawa Mzabawa@enron.com

Message 16 of 42

SourceNet Move to Bryan/College Station

Sender	morris.brassfield@enron.com
Recipients	['rod.hayslett@enron.com', 'john.gillespie@enron.com', 'phil.lowry@enron.com']
File	hayslett-r/inbox/32.

John,

With all the problems we have been experiencing with SourceNet, a move in December that could restrict our year-end abilities, raises extremely high concern. We feel at this point it would be unacceptable to entertain.

If this is out of our (Enron's) control we will begin to take action to pay ALL our invoices in DECEMBER.

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

-----Original Message-----

From: Kneppshield, Judy Sent: Tuesday, October 23, 2001 5:12 PM To: Gillespie, John Subject: SourceNet Move to Bryan/College Station

John, We need to be prepared to communicate to ETS about plans for the phased-in move to Bryan-College Station, call center and transaction processors this December and everyone else next December.

Call center hot link Staff turnover and retraining Drain of management expertise Re-mailing to vendors (the first mailing created so much noise I thought we would lose our jobs over it)

This will surely come up on next Friday's meeting if anyone from ETS is there.

Judy

Message 17 of 42

Update on Organizational Changes to Operations Support Services

Sender	morris.brassfield@enron.com
Recipients	['rod.hayslett@enron.com']
File	hayslett-r/projects/personnel/11.

Rod,

Here is an update on where we are at on reorganizing, in order to avoid filling the Director's position vacated by Larry Fenstad. I met with all the OSS Directors and gave them the following attached guidelines and an opportunity to redesign the organization, without filling back Larry's position. The org charts below represent the organization that we have agreed to pursue.

I have met with Laura and Brian to review the organization and to have compensation review. Gary Smith has reviewed the proposal and given his approval.

While we will encounter a couple of moves, in order to implement this, we will keep the staffing levels whole and reduce by one (1) directors position, and not increase our current estimate. The real benefits to this organization are:

It provides better supervision and alignment with the field operations. It will provide for better training opportunities for future management positions. It will better align our consolidation efforts. It will off-load some daily supervisory responsibilities from David, Elaine and Barney. It will free up some time for David, Elaine and Barney to better oversee and improve the quality of the financial data.

When we get some of the following issues resolved and working smoothly, I feel we will be able to support and possibly downsize from our current staffing levels:

SAP ADAYTUM DATA WAREHOUSE iBUYIT iPayit SAP Timekeeping Conversion of MCS/MP2 to MP5 Codes & Compliance - fully implemented for all Business Units Ex-EOTT Administrative personnel trained Training for our personnel on the fully functional systems

I met with Larry this morning and went over transitional issues. He will be working with HR to get his severance papers in order. We are looking at an effective date of September 01, 2001.

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

Message 18 of 42

FW: United Way 2001 Campaign

Sender	morris.brassfield@enron.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/projects/8.

We will offer the following people to be volunteers for our organization:

Enron Building - Sophie Patel (Covers Elaine's organization) (Melinda Gallishaw is going to cover Barney's organization)
Three Allen Center - Ruthann Frausto (Cover's Shirley Jo's and Larry's organization)

Morris A. Brassfield Enron Transportation Services Senior Director Operations Support Services Three Allen Center 3285
333 Clay Street Houston, Texas 77002

713-646-7006 Business Phone 713-503-1409 Cell Phone

-----Original Message-----

From: Hayslett, Rod Sent: Tuesday, July 10, 2001 2:55 PM To: Barnes, Caroline; Brassfield, Morris; Campos, Kathy; Centilli, James; Daily, Pamela; Geaccone, Tracy; Gilbert, Steve; Keiser, John; Meers, Thomas; Peters, Jerry; Rosenberg, David E.; Saunders, James; Tu, Denis Cc: Schroeder, Maggie; Cherry, Paul Subject: FW: United Way 2001 Campaign

Any volunteers?

-----Original Message-----

From: Taylor, Gina Sent: Tuesday, July 10, 2001 11:41 AM To: Hotte, Steve; Hayslett, Rod; Lowry, Phil; McCarty, Danny; Fossum, Drew; Smith, Gary; Corman, Shelley Cc: Nelson, Kimberly; Haden, Sarah Subject: United Way 2001 Campaign

Enron's 2001 United Way Campaign is kicking off this month. As a pacesetter company in Houston, our campaign starts in mid-July with the leadership giving appeal followed by employee giving and participating in Day of Caring in early August.

To ensure the success of the ETS campaign, we need employees throughout the organization to spread the word about the United Way and help with the logistics of running the campaign. As a Campaigner, our employees would work closely with the ETS Communications group to drive a successful campaign.

I ask that you submit at least 3 names of Houston employees from your group to be Campaigners and help with this year's campaign. Each campaigner will be responsible for a group of Houston employees in their business unit. We need, on average, 1 campaigner for every 20 employees.

Can I get your list of Campaigners by Monday, July 16?

Additional information about this year's campaign will be coming soon.

For now, please mark Thursday, July 26, from 3:30 - 4:30 on your calendar. Stan will be hosting the ETS Leadership Giving reception and the ETS Management Team will be invited to attend. Also, please mark Thursday, August 9, on your calendar for ETS' Day of Caring.

Please stay tuned for details about this year's Campaign and ETS' Day of Caring.

Thanks so much for your commitment to the United Way.

Gina

Message 19 of 42

RE: Memo regarding Enron/Dynegy Agreement and Plan of Merger -

Sender	michael.ratner@enron.com
Recipients	['Del vecchio', 'rod.hayslett@enron.com', 'Peter']
File	hayslett-r/inbox/204.

With everything going on, I wanted to speak with you about some issues, particularly how things may effect my group. In light of the attached memo, it does not seem that we can do anything that will cost the company more than \$50mm. What does this mean for what we are looking at? Can Enron even participate in the Arctic project as a \$1mm commitment will, not including the potential additional liabilities, commit the company for more than \$50mm. I guess you can make an argument about it depends upon how you count it.

Anyway, please let me know when you have some time.

Cheers.

-----Original Message-----

From: Hayslett, Rod Sent: Saturday, November 17, 2001 6:15 PM To: Brassfield, Morris; Saunders, James; Geaccone, Tracy; Gilbert, Steve; Keiser, John; Barnes, Caroline; Ratner, Michael; Peters, Jerry; Rosenberg, David E.; Tu, Denis; Centilli, James; Daily, Pamela Subject: FW: Memo regarding Enron/Dynegy Agreement and Plan of Merger - Compliance with the Conduct of Business Covenants Importance: High Sensitivity: Confidential

FYI

-----Original Message-----

From: Walls Jr., Rob Sent: Sat 11/17/2001 4:48 PM To: Horton, Stanley; Hayslett, Rod Cc: Subject: FW: Memo regarding Enron/Dynegy Agreement and Plan of Merger - Compliance with the Conduct of Business Covenants

-----Original Message-----

From: Keesler, Martha On Behalf Of Del vecchio, Peter Sent: Friday, November 16, 2001 8:06 PM To: Ale, John; Cheek, Charles; Derrick Jr., James; Evans, Mark (London Legal); Fossum, Drew; Haedicke, Mark E.; Labanowski, Elizabeth; Mintz, Jordan; Newell, Eric; Rogers, Rex; Sharp, Vicki; Wallace, Stephen; Walls Jr., Rob; Tweed, Sheila; Hodge, Jeffrey T.; Sager, Elizabeth; Cash, Michelle; Butcher, Sharon; Taylor, Mark E (Legal); Gray, Barbara N.; Murray, Julia; Aronowitz, Alan; Rogers, Daniel R.; Lundstrom, Bruce; Novak, John; Henry, Joseph; Eickenroht, Robert; Donahue, Jeff; Muller, Mark S.; Sample, Molly; Place, Janet

Cc: Del vecchio, Peter Subject: Memo regarding Enron/Dynegy Agreement and Plan of Merger - Compliance with the Conduct of Business Covenants

Importance: High Sensitivity: Confidential

Please see the attached memo regarding Enron/Dynegy Agreement and Plan of Merger - Compliance with the Conduct of Business Covenants.

Sent on behalf of Peter del Vecchio By: Martha Keesler Senior Administrative Assistant Enron North America Corp. 1400 Smith, EB 3829 Houston, Texas 77002 (713) 345-2423 (713) 646-3491 (Fax)

<<Covenant.Compliance.Memo.3.DOC>>

Message 20 of 42

Employee Transfers

Sender	elaine.concklin@enron.com
Recipients	['rod.hayslett@enron.com']
File	hayslett-r/inbox/41.

Rod, I wanted to confirm with you that it is OK for us to move certain employees to co. 1202 as of Jan. 1, 2002. I know that we cannot move all the Service Groups, but you had agreed that we could move all the E&C Employees in Jerry Martin's organization to 1202 and a number of the Ops. Support Services Employees (in Morris's organization) that support all of the pipelines and are NOT mostly dedicated to just one company.

Please confirm so we can work with HR to have these employees moved at year end.

Also, have there been any further updates from regulatory regarding a more encompassing move of employees to one service company?

Thanks, Elaine

Elaine Concklin Enron Transportation Services Director Financial Planning Operations Support Services 1400 Smith St. Suite 3AC-3311 Houston, Texas 77002 (713) 853-5521 Elaine.Concklin@Enron.com

Message 21 of 42

Webcast: Driving Best-in-Class Performance

Sender	r-8-62757-3666190-2-2683-us2-1c63ffe4@xmr3.com
Recipients	['rod.hayslett@enron.com']
File	hayslett-r/inbox/253.

Webcast is Tuesday, December 4 -- Sign Up Today! <http://www.bfmag.com/webcasts/index14.cfm>

DRIVING BEST-IN-CLASS PERFORMANCE WITH WORLD-CLASS PLANNING 12:00 noon, EST. Tuesday, December 4

You're invited to join Business Finance magazine and Adaytum for a live, one-hour webcast to examine the link between world-class planning and best-in-class performance.

See how enterprise business planning can deliver near-immediate ROI and enable thousands of your front-line managers to contribute to an enterprise-wide view of performance in real time.

You'll also see a live demonstration of Adaytum e.Planning, the planning platform adopted by 10 percent of the Fortune 100 in the past six months. And a guest speaker from Accenture, Manager Mary Koch, will describe the success her Fortune 500 organization has achieved with its e.Planning implementation.

Please join us. All you need is a telephone and access to the Web.

Driving Best-in-Class Performance with World-Class Planning 12:00 noon, EST. Tuesday, December 4.

The webcast is next week and registration is limited, so sign up today at <http://www.bfmag.com/webcasts/index14.cfm>!

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If you would prefer not to receive further messages from Adaytum: 1. Click on the Reply button. 2. Replace the Subject field with the word REMOVE. 3. Click the Send button. You will receive one additional e-mail message confirming your removal.

Message 22 of 42

RE: Notes from Enron

Sender	drew.fozzum@enron.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/projects/credit_agreement_merger_related/2.

I've now read the email below and think its a fine piece of work--direct, yet polite. Go for it. DF

-----Original Message-----

From: Hayslett, Rod Sent: Wednesday, November 14, 2001 7:35 AM To: Fozsum, Drew Cc: Howard, Kevin A.; Mintz, Jordan; Boyle, Dan Subject: Notes from Enron Importance: High

I need to send this to Jeff and Ray and get it back agreed to before we can actually fund otherwise I am not comfortable with the agreement and the reps we are making.

The following representations (among others) have been made to various parties relative to both the credit agreement (with the banks) and the Preferred Stock Agreement (Dynergy) to the Boards of Transwestern (TW), Northern (NNG) and Enron Transportation Services (ETSC) and its subsidiaries, as well as to Dynergy and the banks:

The funds that are being loaned out of NNG and TW to various entities and the further loans of these funds to Enron will carry Enron Corp guaranties. The note agreements will reimburse NNG, TW and ETSC and their subsidiaries for their actual expenses associated with these endeavors. The credit agreements actually require a large degree of separateness and an arm's length standard needs to be applied to dealings between ETSC and its subsidiaries and Enron and the rest of it's subsidiaries.

Before the funding under the credit agreement takes place I would like to make sure that you two are aware of this, have agreed to and understand the conditions and further agree that you will assist me in cleaning up whatever documentation needs to be cleaned up between Enron and ETSC and it's subs to make the above representations not be false.

Rod Hayslett Managing Director, Chief Financial Officer and Treasurer Enron Transportation Services Company EB4054
1400 Smith Street Houston, TX 77002-7361 713-853-6178 rod.hayslett@enron.com

Message 23 of 42

RE: Notes from Enron

Sender	drew.fozzum@enron.com
Recipients	[rod.hayslett@enron.com', 'a..howard@enron.com']
File	hayslett-r/projects/credit_agreement_merger_related/6.

??? I don't feel any better.

-----Original Message-----

From: Hayslett, Rod Sent: Wednesday, November 14, 2001 8:05 AM To: Fozsum, Drew; Howard, Kevin A. Subject: FW: Notes from Enron

Does this make us feel better?

-----Original Message-----

From: McMahon, Jeffrey Sent: Wednesday, November 14, 2001 8:04 AM To: Hayslett, Rod; Bowen Jr., Raymond Subject: RE: Notes from Enron

Fine with me.

Regards,

Jeff

-----Original Message-----

From: Hayslett, Rod Sent: Wednesday, November 14, 2001 8:01 AM To: McMahon, Jeffrey; Bowen Jr., Raymond Subject: FW: Notes from Enron Importance: High

The following representations (among others) have been made to various parties in due diligence relative to both the credit agreement (with the banks) and the Preferred Stock Agreement (Dynegy) to the Boards of Transwestern (TW), Northern (NNG) and Enron Transportation Services (ETSC) and its subsidiaries, as well as to Dynegy and the banks:

The funds that are being loaned out of NNG and TW to various entities and the further loans of these funds to Enron will carry Enron Corp guaranties. The note agreements will reimburse NNG, TW and ETSC and their subsidiaries for their actual expenses associated with these endeavors. The credit agreements actually require a large degree of separateness and an arm's length standard needs to be applied to dealings between ETSC and its subsidiaries and Enron and the rest of its subsidiaries.

Before the funding under the credit agreement takes place I would like to make sure that you two are aware of this, have agreed to and understand the conditions and further agree that you will assist me in cleaning up whatever documentation needs to be cleaned up between Enron and ETSC and its subs to make the above representations not be false.

Rod Hayslett Managing Director, Chief Financial Officer and Treasurer Enron Transportation Services Company EB4054
1400 Smith Street Houston, TX 77002-7361 713-853-6178 rod.hayslett@enron.com

Message 24 of 42

RE: Request to Open WSB C.007054.03.09

Sender	caroline.barnes@enron.com
Recipients	['rod.hayslett@enron.com', 'jim.coffey@enron.com', 'michael.sullivan@enron.com', 'lisa.koerselman@enron.com']
File	hayslett-r/deleted_items/9.

Jim, we need to get this cleared up in light of what has happened in recent weeks. The remaining dollars are the last of the allocation for the share of the PGAS projects committed to by HPL and paid for by ETS. HPL/AEP has been running in a PGAS stand alone production mode since October. I do not want to do an invoice but would like to do an intercompany charge. There already was a work order set up to accept the PGAS charges - C.007054. It seems to me that it would easier to have all the charges in one place to get reimbursement from AEP than to have them spread out all over. The sale of HPL did not negate the obligation HPL/ENA had to ETS for the cost of this project. Even when the sale was being contemplated in Dec 2000, Jan 2001 timeframe ENA told ETS to continue on with the project for HPL. Caroline Barnes

-----Original Message-----

From: Coffey Jr., Jim Sent: Thursday, November 01, 2001 12:14 PM To: Koerselman, Lisa; Barnes, Caroline Subject: RE: Request to Open WSB C.007054.03.09

I remember what this is now. As soon as you send the info to me I will get back with you.

-----Original Message-----

From: Koerselman, Lisa Sent: Wednesday, October 31, 2001 4:20 PM To: Coffey Jr., Jim Subject: FW: Request to Open WSB C.007054.03.09

I talked to Karen about this (and she has evidently talked to you) - I told Caroline to send you an invoice and support for the additional charges.

thanks Lisa

-----Original Message-----

From: Barnes, Caroline Sent: Wednesday, October 31, 2001 2:23 PM To: Koerselman, Lisa Cc: Lin, Judy; Lev, Jennifer Subject: Request to Open WSB C.007054.03.09

Lisa, it is my understanding that you are now in charge of "old" HPL projects per Karen Gruesen. Project C.007054 is the old J50127 PGAS Software Measurement project set up in 2000 to accept the allocation of PGAS charges for HPL's share of the project. The PGAS project is an ETS/HPL project to replace the MIPS measurement system. PGAS went into projection for both ETS and HPL/AEP June of this year. This project has been allocated all but the final allocation of \$194,000. The previous allocations were charged to C.007054.03.09 through May of this year. This WBS is not accepting charges so I assume that it is locked. Please unlock it so that we can make the final allocation of HPL's share and close out ETS's PGAS project. Please call Judy Lin (37193) when unlocked so she can make the entry and notify you when it is complete so that you may relock the WBS element. Thank you for your help. Caroline Barnes Director Finance and Planning Enron Transportation Services 713 853-6375

Message 25 of 42

FW: EAMR Transactions

Sender	sarabeth.smith@enron.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/inbox/15.

Rod, Here is the memo I mentioned in the Shared Employees Agreement e-mail.

-----Original Message-----

From: Hawkins, Don Sent: Monday, October 22, 2001 7:54 AM To: Teal, Mike; Weatherford, Allan; Mertz, Tom; Jolly, Rich; Gaines, David; Maestas, Gary; Asante, Ben; Kendrick, William; Clark, Scott; LeBeau, Randy; Gilbert, Tom; Odneal, Dave; McGillivray, RR; Gilbert, Tom; Odneal, Dave; Stephens, LD; Gottsponer, Morgan; Bonnstetter, Mike Cc: Lowry, Phil; Craig, Rick; Nelson, Mike; Rice, Randy; Pribble, Dan; Martin, Jerry D.; Melton, Richard ; Brassfield, Morris; Harris, Linda C.; Keller, John R.; Shafer, John; Raker, Colleen; Soldano, Louis; Smith, Sarabeth Subject: EAMR Transactions

This memo is being forwarded to you to address issues that have developed during recent Enron Asset Management Resources (EAMR) transactions and to establish appropriate procedures for going forward. EAMR, as you are probably aware, is an affiliate of Enron Transportation Services Company that performs services for third parties as well as other Enron affiliate companies.

When EAMR enters into a contract with non Enron customers to deliver services, EAMR assumes all of the risk for any losses in the transaction. Additionally, EAMR is not to be supported financially by the affiliated pipelines. All costs such as employee payroll expenses, travel and other related employee expenses, equipment usage fees, etc associated with an employee performing services for a customer under an EAMR transaction must be accurately recorded pursuant to prudent accounting procedures.

Going forward, to ensure that there are no financial or contractual obligations that are not in the best interest of EAMR, the following process will be used on all transactions.

1) Cost estimates for services through EAMR will be sent to Sarabeth Smith in Houston for review and approval. Sarabeth will ensure that all costs and appropriate margins are included in the cost structure and then release it through a non-binding agreement for presentation to the customer by appropriate marketing personnel. Cost estimates, given to

customers outside of this step in the process, run the possibility of having to be retracted due to the risk of committing EAMR to a transaction that is not contractually or financially sound.

2) It is the responsibility of every employee performing services for EAMR to be diligent in recording their time and expenses required to perform the services to the appropriately assigned project number. Monthly reviews of the expenses associated with each project will be conducted to ensure that all costs have been accurately recorded. Sarabeth will be the point of contact with the transaction originator, contract administration and legal to ensure draft agreements as well as the final agreement have been coordinated through all appropriate groups. Legal agreements will not be issued without proper sign-off of authorization.

3) All contracts must adhere to fundamental risk parameters set forth by management. These mandates are very clear concerning contract language and operating parameters for EAMR transactions. Your cooperation by adhering to the processes described in this memo is critical to the continued success of EAMR as a revenue generating entity as well as another "marketing tool" for the customer.

Contact Information for EAMR will Sarabeth Smith at 713-345-5023, sarabeth.smith@enron.com, 1400 Smith 3AC-3147, Houston, TX 77002.

Please pass this memo on to team members or other members of your staff that currently work or may work on EAMR transactions.

Thanks for your support in this endeavor.

Message 26 of 42

RE: P00501421 668169 D Rittgers (mar)

Sender	security.sap@enron.com
Recipients	['rod.hayslett@enron.com', 'john.gillespie@enron.com', 'jan.johnson@enron.com']
File	hayslett-r/inbox/135.

Hello all,

The following request is still pending your approval.

Thanks,

Margaret SAP Security

-----Original Message-----

From: Sap Security Sent: Wednesday, November 07, 2001 11:02 AM To: Hayslett, Rod; West, Terry; Knepshield, Judy; Choyce, Karen; Johnson, Jan; Perkins, Mary; Gillespie, John; Schwarz, Stephen Subject: P00501421 668169 D Rittgers (mar)

Dan Ritters is requesting Enterprise access to the following roles (please see business reason below):

VIEWER ROLES: Judy Knepshield: Add FN FI Consolidated Viewer Add FN AP Data Viewer

Rod Hayslett: Add FN AM View Asset History Add FN PS Viewer Add FN FERC Data Viewer Add JV Joint Venture Viewer

Jan Johnson: Add FN EC Consolidation Data Viewer - Legal Consolidation Add FN EC Consolidation Data Viewer - PCA/Team Reporting

Terry West: Add FN CO Viewer Add FN GL Viewer Add FN Consolidated Tax Viewer

Mary Perkins: Add FN TR Cash Viewer

Karen Choyce: Add FN AR Viewer Add FN CMB(Cash Budget Management) Viewer

John Gillespie: Add MM PU Viewer

Steve Schwarz: Add FN IM View Management Information

FINANCIAL ACCOUNTING ROLES: Judy Knepshield: 1. Add FN AP GR/IR Clearing Accountant Admin

OTHER ROLES: John Gillespie: Add Data Warehouse User (BU) Add iBuyit Workflow Substitutes Report (PR2) Add Shopping Cart Activity Report, Spend Trend Analysis Report (PR5) Add IBUYIT - EBP_REPORT_EXECUTIONER_ENT (PR5) Add IBUYIT - EBP_REPORT_EXECUTIONER_ENT (PR2)

Dan currently has access to the following:

Std End-User profile for basis and prntg MM_PU Viewer (Master) - Enterprise FN_GL Viewer Enterprise MM Viewer ETS FN CO VIEWER ETS HR EMPLOYEE ESS CATS Enterprise HR FN AP Data Viewer - ETS FN AP Data Viewer - EECC FN AP Data Viewer - EGEP FI FN EC/CS VIEWER LEGAL Consolidation-EECC FN EC/CS VIEWER LEGAL Consolidation-CORP FN_Tax Correction Tool - Enterprise

Thank you,

Margaret SAP Security

-----Original Message-----

From: Rittgers, Dan Sent: Wednesday, October 31, 2001 3:18 PM To: Sap Security Subject: P00501421 668169 D Rittgers

The following request information was recently submitted...

USER INFORMATION:

SAP ID: P00501421 Employee Name (Last,First,MI): Rittgers, Daniel, W. Business Unit: CORP Company Code: 0011 Cost Center: 10280 Employee Telephone Number: (713) 853-5734 Employee Email Address: dan.rittgers@enron.com Job Title: Senior Tax Specialist Business Unit for Roles: Enterprise Access

SUPERVISOR INFORMATION:

Supervisor SAP ID: P00503127 Supervisor Name (Last, First, MI): Hrna, Sandra Supervisor Telephone Number: (713)853-0937 Supervisor Email: Sandra.Hrna@enron.com

Business Reason: I manage sales and use tax audits for all business units. My primary function requires that I download every transaction that processes through Accounts Payable for a company into a managable database platform(Access). I must download historical data (4-5 years old).

View only, I do not want or need change or park authorization.

I must also view General Ledger and sub-ledger summaries and be capable of demonstrating that the AP detail transactions tie to the general/sub ledgers (KA-KZ and RA-RZ transactions).

Some data will be project specific and some will be Cost Center and Profit center (Team) specific.

VIEWER ROLES: 1. Add FN FI Consolidated Viewer 2. Add FN AM View Asset History 3. Add FN AP Data Viewer 4. Add FN CO Viewer 5. Add FN TR Cash Viewer 6. Add FN PS Viewer 7. Add FN GL Viewer 8. Add MM PU Viewer 9. Add FN IM View Management Information 10. Add FN EC Consolidation Data Viewer - Legal Consolidation 11. Add FN EC Consolidation Data Viewer - PCA/Team Reporting 12. Add FN AR Viewer 13. Add FN CMB(Cash Budget Management) Viewer 14. Add FN FERC Data Viewer 15. Add FN Consolidated Tax Viewer 16. Add JV Joint Venture Viewer 17. Add Data Warehouse User (BU) 18. Add iBuyit Workflow Substitutes Report (PR2) 19. Add Shopping Cart Activity Report, Spend Trend Analysis Report (PR5) 20. Add IBUYIT - EBP_REPORT_EXECUTIONER_ENT (PR5) 21. Add IBUYIT - EBP_REPORT_EXECUTIONER_ENT (PR2)

FINANCIAL ACCOUNTING ROLES: 1. Add FN AP GR/IR Clearing Accountant Admin

PROJECT SYSTEM ROLES: No roles in this area were selected.

JOINT VENTURE ROLES: No roles in this area were selected.

MATERIALS MANAGEMENT / PURCHASING ROLES: No roles in this area were selected.

CENTRALIZED ROLES (LIMITED TO SPECIFIC PERSONNEL): No roles in this area were selected.

HUMAN RESOURCES (HR PERSONNEL ONLY): No roles in this area were selected.

HUMAN RESOURCES - TIMEKEEPERS: No roles in this area were selected.

HUMAN RESOURCES - BENEFITS (BENEFITS PERSONNEL ONLY): No roles in this area were selected.

HUMAN RESOURCES - PAYROLL (PAYROLL PERSONNEL ONLY): No roles in this area were selected.

Message 27 of 42

Re: FW: Legal Bills-Project Timber

Sender	molly.sample@enron.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/projects/eott/6.

Yes, and I got a copy of the bill. I have no idea how to divide it up. It is not very clear on what company incurred which expenses. Please call me and I can give you some thoughts on this. Thanks.

Molly Sample VP & General Counsel EOTT Energy Corp. 713-993-5027 fax 713-402-2806

Rod Hayslett/ENRON@enronXgate 07/26/01 05:02 PM To: Molly Sample/Houston/Eott@Eott cc: Subject: FW: Legal Bills-Project Timber

Did you get this? I have been out of the office.

-----Original Message-----

From: Horton, Stanley Sent: Wednesday, July 18, 2001 8:57 AM To: Hayslett, Rod Cc: Uhl, Jessica Subject: RE: Legal Bills-Project Timber

Rod is correct. Everyone is covering their own expenses

-----Original Message-----

From: Hayslett, Rod Sent: Tuesday, July 17, 2001 5:11 PM To: Horton, Stanley Subject: FW: Legal Bills-Project Timber

My recollection is that when we lowered the price, that everyone was then going to cover their own bills.

-----Original Message-----

From: Sample, Molly Sent: Monday, July 16, 2001 6:24 PM To: Uhl, Jessica Cc: Gibbs, Dana; Hayslett, Rod Subject: RE: Legal Bills-Project Timber

We are putting together cost numbers over here. When do you think you will have a resolution on this issue? I will assume no charge to EOTT unless you tell me you have heard otherwise from Stan or Rod. Thanks.

Molly Sample VP & General Counsel EOTT Energy Corp. 713-993-5027 fax 713-402-2806

Jessica Uhl/ENRON@enronXgate 07/16/01 11:18 AM To: Molly Sample/Houston/Eott@Eott, Ann Ballard/ENRON@enronXgate cc: Dana Gibbs/Houston/Eott@Eott Subject: RE: Legal Bills-Project Timber

Molly and Ann, I was under the impression that V&E expenses related to EOTT would be paid by EOTT. However, I may have misunderstood Stan's comments a few weeks ago and I don't know how feasible it is to split the expenses. I believe this is a Stan/Rod/Dana decision ultimately.

Jessica

-----Original Message-----

From: Sample, Molly Sent: Monday, July 16, 2001 11:01 AM To: Uhl, Jessica Cc: Gibbs, Dana Subject: RE: Legal Bills-Project Timber

Just confirming Bob's comments that EOTT will NOT be receiving any V&E bills on Project Timber. Thanks.

Molly Sample VP & General Counsel EOTT Energy Corp. 713-993-5027 fax 713-402-2806 ----- Forwarded by Molly Sample/Houston/Eott on 07/16/01 11:12 AM -----

"Baird, Bob" <RBaird@velaw.com> 07/16/01 10:52 AM To: Molly Sample/Houston/Eott@Eott cc: "Wells, Carol" <cwells@velaw.com> Subject: RE: Legal Bills-Project Timber

<< OLE Object: Picture (Device Independent Bitmap) >> Molly: I talked with Ann Ballard, who said that all of V&E's fees and expenses on Project Timber would be paid by Enron Corp. And our billing coordinator, Carol Wells, plans to send the bills to Enron. So the only legal fees that EOTT will have will be Haynes & Boone, plus any followup work that you ask us to do (which I don't think will be much, if anything).

Do you want an estimate anyway?

-----Original Message-----

From: Molly_Sample@eott.com [mailto:Molly_Sample@eott.com] Sent: Monday, July 16, 2001 10:46 AM To: rbaird@velaw.com Subject: Legal Bills-Project Timber

Bob-We are pulling together costs for Project Timber. When can we expect to see either an estimate or an invoice for time from V&E? Thanks.

Molly Sample VP & General Counsel EOTT Energy Corp. 713-993-5027 fax 713-402-2806 ++++++CONFIDENTIALITY NOTICE+++++ The information in this email may be confidential and/or privileged. This email is intended to be reviewed by only the individual or organization named above. If you are not the intended recipient or an authorized representative of the intended recipient, you are hereby notified that any review, dissemination or copying of this email and its attachments, if any, or the information contained herein is prohibited. If you have received this email in error, please immediately notify the sender by return email and delete this email from your system. Thank You

Message 28 of 42

Corporate Services Agreement

Sender	molly.sample@enron.com
Recipients	['rod.hayslett@enron.com', 'mary.coombe@enron.com', 'gavin.russo@enron.com']
File	hayslett-r/notes_inbox/60.

Could I please have an ETA on any comments to this agreement? I will be out of town the first three days of next week and would like to have this done by Dec. 15. Thanks.

Molly Sample General Counsel EOTT Energy Corp. 713-993-5027 fax 713-402-2806 ----- Forwarded by Molly Sample/Houston/Eott on 12/06/00 03:12 PM -----

Molly Sample 11/29/00 01:12 PM

To: Gavin Russo/Corp/Enron@Enron, Rod Hayslett/FGT/Enron@Enron cc: Subject: Corporate Services Agreement

Attached is a draft of the Corporate Services Agreement to cover the property tax function EOTT is moving to Enron. Could you please forward this to the appropriate Human Resources and Legal people? I am not sure who would handle this. Also, if Rodney Meek's start date is something other than December 1, the Exhibit B-1 will need to be redone. Thanks. Please call if you have questions. Mary Ellen Coombe is out this week, but I can contact her if there are questions on the HR side.

Molly Sample General Counsel EOTT Energy Corp. 713-993-5027 fax 713-402-2806

Molly Sample General Counsel EOTT Energy Corp. 713-993-5027 fax 713-402-2806

Message 29 of 42

FW: Credit Policies

Sender	rod.hayslett@enron.com
Recipients	[cassandra.schultz@enron.com', 'Kirk; Piro', 'Tyesha', 'Trout', 'vladimir.gorny@enron.com', 'Jim; Stevens', '...]
File	hayslett-r/projects/portland_general/27.

FYI

-----Original Message-----

From: Valach, William Sent: Friday, July 13, 2001 1:33 PM To: Hayslett, Rod Cc: Trout, Bruce; Lobdell, Jim; Stevens, Kirk; Piro, Jim; Woods, Tyesha Subject: Re: Credit Policies

Rod, attached are the Oregon Public Utility Commission Division 21 Rules. The "establishment of credit" is covered in section 860-021-0200. I apologize for sending the whole document, however, I wasn't sure if you may need other sections that relate to credit establishment. Division 21 Rules are used for the majority of PGE retail customers. If you need additional information or need some deciphering of this document, please contact Bruce Trout at (503) 612-3548. Bruce is a manager in PGE's Customer Service Center with retail credit accountability.

Bill Valach Manager of Finance (503) 464-7395

Hayslett, Rod 07/02/01 01:25PM >>>

Would each of you send me a copy of your credit policies or the rules relative to granting of credit (credit extended to customers)? I would expect that it will be in the tariff or some other regulatory document, or even a charter or license. I don't need the whole document, only the portion relative to credit. Please fax or email to me. Thanks. Rod Hayslett
EB4054 713-853-6178 FAX 713-646-3708

Message 30 of 42

FW: WHAT TO DO IF YOU LOSE YOUR PURSE OR WALLET

Sender	haysletr@flash.net
Recipients	['rod.hayslett@enron.com']
File	hayslett-r/projects/hold/34.

-----Original Message-----

From: Linda Speight [mailto:linda@mcuw.org] Sent: Wednesday, October 17, 2001 11:52 AM To: Jane Wingo; Sonya Welsh; Angela K Speight; Kenny Speight; Ceole Speight; Charlene Speight; Patty Spahr; Jayme Pedigo; Annette Neyman; Gloria Mounger; Kathy Hayslet; Shirley J Griffith; Beverly J Earl; Melanie Curtsinger; Joanne Callahan; Beverly Berry Subject: WHAT TO DO IF YOU LOSE YOUR PURSE OR WALLET

Good info sent by a friend:

A corporate attorney sent this out to the employees in his company. I pass it along, for your information.

WHAT TO DO IF YOU LOSE YOUR PURSE OR WALLET

We've all heard horror stories about fraud that's committed using your name, address, SS#, credit, etc. Unfortunately I (the author of this piece who happens to be an attorney) have firsthand knowledge, because my wallet was stolen last month and within a week the thief(s) ordered an expensive monthly cell phone package, applied for a VISA credit card, had a credit line approved to buy a Gateway computer, received a PIN number from DMV to change my driving record information online, and more.

But here's some critical information to limit the damage in case this happens to you or someone you know. As everyone always advises, cancel your credit cards immediately, but the key is having the toll free numbers and your card numbers

handy so you know whom to call. Keep those where you can find them easily. File a police report immediately in the jurisdiction where it was stolen, this proves to credit providers you were diligent, and is a first step toward an investigation (if there ever is one).

But here's what is perhaps most important: (I never ever thought to do this). Call the three national credit reporting organizations immediately to place a fraud alert on your name and SS#. I had never heard of doing that until advised by a bank that called to tell me an application for credit was made over the Internet in my name. The alert means any company that checks your credit knows your information was stolen and they have to contact you by phone to authorize new credit. By the time I was advised to do this, almost 2 weeks after the theft, all the damage had been done.

There are records of all the credit checks initiated by the thieves' purchases, none of which I knew about before placing the alert. Since then, no additional damage has been done, and the thieves threw my wallet away this weekend (someone turned it in). It seems to have stopped them in their tracks.

The numbers are: Equifax: 1-800-525-6285 Experian (formerly TRW): 1-888-397-3742 Trans Union: 1-800-680-7289 Social Security Administration (fraud line): 1-800-269-0271

We pass along jokes; we pass along just about everything. Do think about passing this information along. It could really help someone.

Linda Speight Community Resources Coordinator Montgomery County United Way 281-292-4155 ex 265

Message 31 of 42

RE: Transwestern information requests

Sender	sarah.taylor@enron.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/deleted_items/146.

I have left messages with Jim, Bob and Harry. I will let you know if I hear anything.

Also, do you have any idea on the timing of the additional volume information?

Thanks

-----Original Message-----

From: Hayslett, Rod Sent: Friday, November 23, 2001 1:37 PM To: Taylor, Sarah Subject: Fw: Transwestern information requests

Here is the message

Sent from my BlackBerry Wireless Handheld (www.BlackBerry.net)

-----Original Message-----

From: Brent.Wahl@jpmorgan.com <Brent.Wahl@jpmorgan.com> To: Hayslett, Rod <Rod.Hayslett@ENRON.com> CC: Eric.Fornell@jpmorgan.com <Eric.Fornell@jpmorgan.com>; DAVID.EDELSON@chase.com <DAVID.EDELSON@chase.com>; Carl_O_Vevle%JPMORGAN@restricted.chase.com <Carl_O_Vevle%JPMORGAN@restricted.chase.com> Sent: Fri Nov 23 13:33:28 2001 Subject: Transwestern information requests

Rod:

As per our phone conversation, the list of information we would like to have follows:

1. FERC Form 2s for the last three years
2. Revenue breakdown: Assumptions made for the contracted period, as well as the time period beyond current contracts - firm/interruptible mix and volumes, tariffs for each type of transportation contract
- A build up from contracts to the revenues in the model would be ideal
3. As before, compressor gas volumes and

assumed sales prices for the projected years 4. As before, the story as it relates to CERA's view of the world 5. Explicit calculation of rate base going forward 6. Employee benefit plan information - funding status, return rates, future liabilities

Thanks Rod.

When you have a time in mind for a call to discuss the above list please contact:

Eric Fornell

Home: 516-626-9464

or myself

Home: 914-833-0234 Work: 212-270-6154 Cell: 646-232-5305

Message 32 of 42

RE: Transwestern information requests

Sender	sarah.taylor@enron.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/deleted_items/127.

I told Brent that Bill Speary's group had a copy, but he said Bill's people said they did not have the form. I am sending Brent the 2000 form via UPS right now.

I am leaving the office to work from home. Please call me on my cell if you need anything else.

Sarah

-----Original Message-----

From: Hayslett, Rod Sent: Friday, November 23, 2001 1:37 PM To: Taylor, Sarah Subject: Fw: Transwestern information requests

Here is the message

Sent from my BlackBerry Wireless Handheld (www.BlackBerry.net)

-----Original Message-----

From: Brent.Wahl@jpmorgan.com <Brent.Wahl@jpmorgan.com> To: Hayslett, Rod <Rod.Hayslett@ENRON.com> CC: Eric.Fornell@jpmorgan.com <Eric.Fornell@jpmorgan.com>; DAVID.EDELSON@chase.com <DAVID.EDELSON@chase.com>; Carl_O_Vevle%JPMORGAN@restricted.chase.com <Carl_O_Vevle%JPMORGAN@restricted.chase.com> Sent: Fri Nov 23 13:33:28 2001 Subject: Transwestern information requests

Rod:

As per our phone conversation, the list of information we would like to have follows:

1. FERC Form 2s for the last three years 2. Revenue breakdown: Assumptions made for the contracted period, as well as the time period beyond current contracts - firm/interruptible mix and volumes, tariffs for each type of transportation contract A build up from contracts to the revenues in the model would be ideal 3. As before, compressor gas volumes and assumed sales prices for the projected years 4. As before, the story as it relates to CERA's view of the world 5. Explicit calculation of rate base going forward 6. Employee benefit plan information - funding status, return rates, future liabilities

Thanks Rod.

When you have a time in mind for a call to discuss the above list please contact:

Eric Fornell

Home: 516-626-9464

or myself

Home: 914-833-0234 Work: 212-270-6154 Cell: 646-232-5305

Message 33 of 42

Accounting Research Manager User ID

Sender	james.k.hemore@us.arthurandersen.com
Recipients	[rod.hayslett@enron.com]
File	hayslett-r/projects/hold/3.

Arthur Andersen VantageSource Date: 02/28/2001 01:08 PM From: James K. Hemore , 800-872-2454

Welcome to Arthur Andersen's U.S. Accounting Research Manager. You now have full access to this comprehensive database for a full year. We are pleased to service your financial reporting needs.

HOW TO ACCESS: The Internet address for the U.S. Accounting Research Manager site is:
<http://www.arm.arthurandersen.com> NOTE: for recent Trial users, this is a different address than the 30-day trial site

To access U.S. Accounting Research Manager according to the option you selected:

INTERNET ONLY SUBSCRIBERS This provides access to a real-time comprehensive database via the Internet.

1. Enter the above address into your browser and set as a FAVORITE. For recent trial users, if you set the trial site as a FAVORITE, please be sure to re-set the above address.
2. Click on ACCESS TO ACCOUNTING RESEARCH MANAGER FOR INTERNET SUBSCRIBER.
3. You will be prompted for your user name (featured below) and password (to be sent in a separate e-mail). For recent trial users, your trial user name and password are identical to your full subscription user name and password.
4. You will then see the opening page of the U.S. Accounting Research Manager.

TIPS & REMINDERS

HOW TO USE U.S. ACCOUNTING RESEARCH MANAGER To better familiarize you with this tool and maximize your time, we suggest when you first visit the site to access the link FOR ASSISTANCE GETTING STARTED, CLICK HERE NOW in the lower left hand corner of the navigator pane.

This will guide you through: - Overview - Tutorial: How to Use Research Manager - Tips - Support tools - FAQ (commonly asked questions and answers) - Glossary

U.S. ACCOUNTING RESEARCH MANAGER REFERENCE SHEET We have also attached an Accounting Research Manager reference sheet to help you navigate through the database.

(See attached file: ARMreference.PDF)

Your User Name is: hayslett-r Password: For security reasons, you will receive in a separate mailing

If you have any questions regarding your Internet access, please call:

***** U.S., CANADA, MEXICO AATS Support 800.872.1235

***** UNITED KINGDOM AATS Support 0870 900 5559

***** INTERNATIONAL CALLS AATS Support 941.341.5907

- ARMreference.PDF

Message 34 of 42

FW: Enron Cost Savings Guidelines

Sender	rod.hayslett@enron.com
Recipients	[stanley.horton@enron.com]
File	hayslett-r/projects/19.

Is there a reason that Cordes was not listed as an approver under professional services?

-----Original Message-----

From: ETS General Announcement/ET&S/Enron@ENRON
[mailto:IMCEANOTES-ETS+20General+20Announcement_ET+26S_Enron+40ENRON@ENRON.com] On Behalf Of Stanley Horton, Chairman & CEO@ENRON Sent: Friday, July 13, 2001 1:15 AM To: Enron Transportation Services Everyone@ENRON Subject: Enron Cost Savings Guidelines

Effective, July 1, 2001, a number of measures and recommendations were implemented to reduce costs associated with travel, entertainment and professional services throughout Enron. As ETS employees, it is our responsibility to follow the Enron-wide cost-savings guidelines below:

Travel and Business Expenses

? Air Travel - Reducing air transportation costs is Enron's top priority. Please take advantage of Enron's negotiated discounted airline fares by using ClickTrip, the Enron-managed online travel booking service, located at <<http://clicktrip.enron.com/enron>>. Although use of Travel Agency in the Park ("TAP") or the Global Strategic Sourcing (GSS)-approved preferred travel agency for your location are still available, ClickTrip is the tool we should all use.

ClickTrip provides employees easy access to all travel and pricing options for their destination (excluding proprietary carriers) and assists employees in making the most cost-effective travel decisions by providing the most current information. In addition to bringing an estimated savings of 20%, ClickTrip is easy to use and is accessible 24 hours a day from any internet-enabled personal computer. After-hours telephone support is also available.

When making travel reservations, please purchase non-refundable coach tickets when flying in the U.S., for these tickets can cost up to 65% less than refundable tickets and can usually be changed, if necessary, for a \$100 fee.

? Lodging and Car Rental - GSS has negotiated preferred rates at a number of worldwide hotel chains, as well as with National and Alamo car rental companies. For more detailed information, please visit <<http://travel.enron.com>>.

? On-line Expense Reporting - All requests for reimbursement of business-related expenses should be made through XMS, the new on-line expense account reporting tool. Please access XMS at <<http://xms.enron.com>>.

? Off-site Meetings - To schedule off-site meetings and events for more than 10 people, please contact Tracy Ramsey, GSS Director, Travel and Transportation Services Portfolio Team at (713) 646-8311.

For information on all travel services, please contact Tracy Ramsey at (713) 646-8311.

Professional Services

To better leverage Enron's purchasing power, all new professional service expenditure arrangements including legal, financial, accounting, engineering, information technology and others, and those due for renewal, must be negotiated through, or in consultation with, GSS. Contracts for more than \$5,000 must be pre-approved by both GSS and ETS. Prior to engaging GSS, please submit all service requisition forms to Rod Hayslett, Danny McCarty, Phil Lowry or me for business unit approval.

To comply with the professional service procedure, a Professional Services Requisition form must be completed. This requisition can be accessed on-line at <<http://ibuyit.enron.com/gss/ibuyit/servicesprojectrequestform.xls>>, or by contacting Ron L. Smith, GSS Director, Administrative and Indirect Services Portfolio Team at (713) 345-6329.

Additional information about Enron's cost-saving initiative will be on ETV, in eBiz and Enron Business, as well as in information booths in the Enron Building.

As we all work together to reduce costs across Enron, please forward additional cost-saving ideas to <recommendationsforcostsavings@enron.com>.

If you have additional questions, please contact Derryl Cleaveland, GSS Senior Director of Operations, at (713) 646-7024.

Stan

Message 35 of 42

RE: Options

Sender	elaine.overturf@enron.com
Recipients	['rod.hayslett@enron.com']
File	hayslett-r/older_than_30/3.

Rod, if you are talking about Enron Corp. options, the procedure for you has not changed. You just call Paine Webber at (713) 654-0371 or (800) 713-0231 and let them know what you want to do--providing, of course, you don't have any material non-public information about Enron stock.

Now, if you are going to exercise EOTT options in a cashless exercise and sell the units, you would have to get clearance from EOTT legal and then call me so I can prepare the 144 forms which need to be signed and put in the mail on the day you sell the units and then you would need to file Forms 4 reporting the transactions by the 10th of the following month that I would prepare for your signature.

Call me at Ext. 3-6062 if you have any other questions.

Thanks,

Elaine

-----Original Message-----

From: Hayslett, Rod Sent: Tuesday, June 05, 2001 7:25 AM To: Overturf, Elaine Subject: Options

What are the procedures now for me if I want to exercise options?

Rod Hayslett EB4054 713-853-6178

Message 36 of 42

RE: Additional TW information request

Sender	sarah.taylor@enron.com
Recipients	['rod.hayslett@enron.com', 'jayshree.desai@enron.com']
File	hayslett-r/deleted_items/147.

Rod,

Thank you the information. I have quickly reviewed it and I believe we can determine the contracted capacity for Red Rock using this information, but what is the total Red Rock capacity (to determine %)?

Also, have you had any luck finding the other information we discussed? Jayshree and I are trying to get a sense of timing.

I will be in the office for a couple of hours, but I will then be working from home. I do not have a Blackberry, so would you please call me if you send additional information?

Thank you, Sarah 713-853-6214 (work) 832-444-3949 (cell) 713-520-1671 (home)

-----Original Message-----

From: Hayslett, Rod Sent: Wednesday, November 21, 2001 7:30 PM To: Desai, Jayshree Cc: Taylor, Sarah; 'sdesai@idriveonline.com' Subject: RE: Additional TW information request

I plan to work toMorrow some on the data and can hopefully get you something for friday. I have some more data coming.

Sent from my BlackBerry Wireless Handheld (www.BlackBerry.net)

Message 37 of 42

RE: Post closing clean up

Sender	a.howard@enron.com
Recipients	['rod.hayslett@enron.com', 'drew.foosum@enron.com', 'dan.boyle@enron.com', 'dorothy.mccoppin@enron.com']
File	hayslett-r/deleted_items/174.

Perfect - 20C2. See you then

-----Original Message-----

From: Boyle, Dan Sent: Monday, November 26, 2001 3:20 PM To: Howard, Kevin A. Subject: RE: Post closing clean up

How about Wednesday at 9:30 am. Conference room up here OK?

How are the mortgage filings going?

Dan O. Boyle Vice President Enron Global Finance Phone: 713-853-1532 Mobile: 713-417-3532 Pager: 877-390-2838
Skytel PIN: 880FBF5

-----Original Message-----

From: Howard, Kevin A. Sent: Monday, November 26, 2001 3:14 PM To: Boyle, Dan Subject: Post closing clean up

Dan:

My Wed morning is completely open for this meeting - I have also line up Drew Fossum and Dorothy McCoppin to participate as well. They have already gone through and identified a number of things that will require further clean up. Do you want to go ahead and set up a time and place for Wed am?

Chris Lyons called me this morning to discuss status of mortgage filings - I can't imagine he is getting nervous!

Thanks for the earlier note.

Message 38 of 42

Re: Risk Management Policies

Sender	jim.lobdell@enron.com
Recipients	['rod.hayslett@enron.com', 'jim.piro@enron.com']
File	hayslett-r/projects/risk/2.

Rod,

I am forwarding to you via FedEx tomorrow a copy of our Energy Trading Policies and Procedures. This document contains our risk management policies and procedures and hopefully the information that you are looking for. In addition, I also understand that you are looking for a copy of our credit policies. We are currently in the process of developing these procedures and do not have a draft that is in good enough shape to share with others at this point. Once we have competed it we will send you a copy. Until then, as you pointed out in the requesting email most of our credit terms are contained in the various tariffs that we operate under. You will find a copy of the relevant credit provisions from these tariffs included in the FedEx package.

If you need any additional information please feel free to contact me at 503.464.2723.

Jim Lobdell Vice President Risk Management, Reporting, Controls & Credit (503) 464-2723

Hayslett, Rod 07/03/01 11:05AM >>>

To the extent you have a policy concerning risk management, would you please forward me a copy so that I can get your input into some changes that the Enron Board will be asked to make to the Enron policy. I will copy you on what I get from them.

Rod Hayslett EB4054 713-853-6178

Message 39 of 42

FW: Azurix / Wessex insurances

Sender	l..bouillion@enron.com
Recipients	[earline.kendall@enron.com', 'rod.hayslett@enron.com']
File	hayslett-r/inbox/139.

For the file.

-----Original Message-----

From: "Steve.Wynne" <Steve.Wynne@kibl.co.uk <mailto:Steve.Wynne@kibl.co.uk>>@ENRON Sent: Friday, November 16, 2001 7:07 AM To: Bouillion, James L. Subject: Azurix / Wessex insurances

Jim

Following our last chat provide update for you. Had good meeting with Richard Haines at JLT and agreed strategy in relation to FM Global. Understand Richard is getting terms to extend policy and also Wessex stand alone quote as you requested and will report directly back to yourself.

We will also report back to you with results of our endeavours ASAP, before month end, to allow you to consider and discuss directly with Wessex.

If you need any further advises please let me now other wise will provide progress report this time next week.

Have a good weekend. Regards Steve

Direct Dial Number: 01628 480910 Main Board: 01628 474114 Fax Number: 01628 475551

Kingsbridge Risk Solutions Limited Harleyford Estate Henley Road Marlow Bucks SL7 2DX

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Message 40 of 42

Northfield/Faribault Asset Divestiture

Sender	dave.waymire@enron.com
Recipients	['rod.hayslett@enron.com', 'james.centilli@enron.com', 'jerry.peters@enron.com', 'james.saunders@enron.com', '...
File	hayslett-r/notes_inbox/86.

Attached are the details of the proposed sale of the Northfield and Faribault branch lines. The associated contracts are also attached for your review. File 00-310E.doc is the actual purchase & sale agreement and file 00-310D.doc identifies the assets to be sold.

Please review and let me know if you have any concerns or questions. If you would like I can set up a meeting with Bob Stevens who is the marketer for this deal to discuss further.

----- Forwarded by Dave Waymire/ET&S/Enron on 12/01/2000

11:30 AM -----

Dave Waymire 11/20/2000 12:35 PM To: Danny McCarty/ET&S/Enron@Enron, Dave Neubauer/ET&S/Enron@ENRON, Rod Hayslett/FGT/Enron@ENRON, Michel Nelson/ET&S/Enron@ENRON, Mike McGowan/ET&S/Enron@ENRON, Mary Kay Miller/ET&S/Enron@ENRON, Steven Harris/ET&S/Enron@ENRON, Julia White/ET&S/Enron@ENRON, Drew Fossum/ET&S/Enron@ENRON cc: James Centilli/ET&S/Enron@ENRON, Bob Stevens/ET&S/Enron@Enron

Subject: Asset Divestiture Approval

Attached is a "Asset Divestiture Approval Form" for the sale of the Faribault Minnesota branchline location # 83801 consisting of 1.091 miles of 6" pipe and the Faribault TBS#1 and the Northfield branchlines location No.'s 85001 and 85002 consisting of approximately 4.9 miles of 4" pipe, and the Northfield TBS#1.

Please indicate your approval or rejection of this proposal on the approval form and return to either James Centilli (EB4250) or David Waymire (OMA0755) by 5PM Monday, November 27th. If you have questions or concerns, please contact James Centilli (853-5028) or myself (398-7062).

These branchlines are experiencing heavy encroachment. The Faribault branchline is currently being odorized by NSP per a previous arrangement in order to comply with a commitment NNG made to the DOT to transport odorized gas because of the population density along the pipeline.

There is no threat of a by pass by selling these branchlines. There is an estimated annual O&M savings of \$10k to \$20k plus the avoided expense, exposure and operational headaches of not having to monitor high pressure branchline odorization.

The net book value of these facilities is \$57,712. The facilities will be sold for \$1. In addition, NSP has agreed to enter into a 1 year transportation agreement guaranteeing incremental revenues of \$350,000.

The net book value of the facilities, is assumed to be of such small value as to be de minimus as allowed by previous rulings of the Commission and will be treated as a non-operating unit. This will allow the undepreciated balance to be cleared to depreciation reserves.

The sale will require that the Northfield TBS be relocated upstream of the main line take off at an estimated cost of \$225,000.

David

Message 41 of 42

RE: Price Curves	
Sender	rod.hayslett@enron.com
Recipients	['bradford.larson@enron.com', 'david.gorte@enron.com']
File	hayslett-r/sent_items/13.

That would work well if I was trying to do projects, but I am trying to be able to utilize the curves in the business to measure VaR. We now use them for NNG & TW in the Caminus System, and want to do so for our other pipes as well.

-----Original Message-----

From: Larson, Bradford Sent: Tuesday, October 23, 2001 9:46 AM To: Hayslett, Rod Cc: Gorte, David Subject: RE: Price Curves

Rod - If you can't get access to the curves, possibly RAC could run the models and provide output to you. We'll need to review non-budget capital projects anyway.

Dave - any other thoughts ?

-----Original Message-----

From: Hayslett, Rod Sent: Tuesday, October 23, 2001 7:39 AM To: Beck, Sally Cc: Gorte, David; Larson, Bradford Subject: FW: Price Curves

Sally: Where do I go inside Enron to get straight what it is that I need to do in order to be able to use the curves I am told that we need to be using?

Rod Hayslett EB4054 713-853-6178

-----Original Message-----

From: Strohmeyer, Vincent Sent: Monday, October 22, 2001 3:24 PM To: Hayslett, Rod Cc: Cobb Jr., John Subject: FW: Price Curves

Rod,

Can you give me some help here on the pricing confidentiality agreement?

vince 713.853.6701

-----Original Message-----

From: Strohmeyer, Vincent Sent: Friday, October 19, 2001 8:58 AM To: Peters, Jerry Cc: Cobb Jr., John; Saunders, James Subject: RE: Price Curves

I have twice emailed Sally Beck, the signatory on the last agreements signed by ENA, with NNG and TW, to see if she could give me a lead on whom to contact. I also left her a voice mail. She has not responded. We cannot proceed with the Northern Border implementation without a confidentiality agreement between ENA and NBP.

Caminus is still looking to set up a meeting for gathering requirements for both NBP and possibly the Risk Analytics package.

-----Original Message-----

From: Peters, Jerry Sent: Friday, October 19, 2001 8:12 AM To: Strohmeyer, Vincent Subject: RE: Price Curves

Any progress on this?

-----Original Message-----

From: Strohmeyer, Vincent Sent: Monday, October 08, 2001 2:01 PM To: Beck, Sally Cc: Cobb Jr., John; Peters, Jerry Subject: FW: Price Curves

Sally,

In March of 1999, ETS companies, Northern Natural Gas (NNG) and Transwestern Pipeline Company (TW), signed Confidentiality Agreements with Enron Capital and Trade (ECT) for pricing information. You were the signatory for ECT at that time. These price curves are used by the pipelines for risk management purposes. Currently, we are implementing a new risk system and would like the ability to use this system across all of ETS' pipes. However, the Confidentiality Agreements do not permit us to share this information with any other companies. I would appreciate any assistance you could provide in identifying the new person at ENA/EWS that would handle these duties currently.

Thanks

Vince Strohmeyer 713.853.6701

Message 42 of 42

9-11 Reports

Sender	moodysissuerrelations@moodys.com
Recipients	[rhaysle@enron.com]
File	hayslett-r/inbox/189.

Dear clients,

To summarize Moody's views of the September 11th's impact on global credit quality, we have prepared this special report: a digest of commentary and rating activity during the days and weeks following the attacks on New York and Washington. We hope you will find this digest to be a useful guide to our current market views. This digest is also being forwarded to investors who subscribe to Moody's Investors Service publications and research services. Click the links below to view the publication.

Thank you, Michael Foley Group Managing Director Corporate Finance

The Credit Impact of September 11, 2001 on ?

Global Corporate Finance <http://www.moodys.com/moodys/cust/research/venus/Publication/Special%20Report/noncategorized_number/71581.pdf>

This report focuses on the global corporate finance markets, including detailed analysis of the tragedy's impact on individual industrial sectors from aerospace to telecommunications. It also provides a look at the market from a macro perspective, including recent trends in bond defaults, upgrades and downgrades, and pricing in the corporate debt and equity markets.

Global Banking and Sovereigns <http://www.moodys.com/moodys/cust/research/venus/Publication/Special%20Report/noncategorized_number/71577.pdf>

This report focuses on sovereign credits and banking systems, including an overview of the impact of the tragedy on U.S. payment systems, on Wall Street, and on economies worldwide already faced with an economic slowdown. It also explains our current outlook on several national banking systems and details sovereign rating actions taken since the attacks.

Global Structured Finance Markets <http://www.moodys.com/moodys/cust/research/avalon/Publication/Special%20Report/noncategorized_number/SF11499.pdf>

This report focuses on global structured finance markets, including asset-backed securities, where pooled aircraft securitizations are feeling the most immediate pressure, and where credit card backed deals may be impacted by changing consumer sentiment and general economic malaise. It also includes commentary on changes in the asset quality of and markets for mortgage-backed securities, CDOs, and derivatives in the weeks following the attacks.

The Insurance Industry <http://www.moodys.com/moodys/cust/research/venus/Publication/Special%20Report/noncategorized_number/71580.pdf>

This report focuses on the insurance industry, including both insurance and reinsurance, and both life and property and casualty, and looks also at the impact on the Lloyd's market and on the major financial guarantors. It also includes a digest of rating actions, reviews, and outlook changes taken since the attacks.

U.S. Public Finance <http://www.moodys.com/moodys/cust/research/genoa/Publication/SpecialComment/noncategorized_number/PBM71576.pdf>

This report focuses on the U.S. public finance market and on infrastructure finance globally. Analysis includes the impact of the tragedy at the city, county, and state level in New York and California; on airport credits in North America and in Europe; and on the not-for-profit segment of the municipal market, where attacks may have an interesting effect on the demand for higher education.